

Sustainability and Environmental Responsibility Policy

Document: SUS-001 **Version:** 2.1 **Effective Date:** January 1, 2025 **Owner:** Office of Sustainability
Applies To: All Northwind Logistics employees and operating facilities

1. Purpose

Northwind Logistics is committed to operating in a manner that minimizes environmental impact, supports the communities in which we operate, and contributes to the broader transition to a low-carbon economy. This policy articulates our environmental commitments and the operational expectations they create.

2. Scope

This policy applies to all Company-owned and Company-operated facilities, all Company vehicles and fleet operations, all employee business activities, and all Company procurement decisions where environmental considerations are material.

3. Carbon and energy

3.1. The Company has committed to a 50% reduction in Scope 1 and Scope 2 emissions by 2030, against a 2019 baseline, and net-zero by 2045. Progress is reported annually in the Sustainability Report.

3.2. Each facility manager is responsible for tracking and reporting monthly energy consumption (electricity, natural gas, fuel) through the SustainTrack platform.

3.3. New equipment purchases over \$5,000 must include an energy-efficiency comparison and, where commercially reasonable, the more efficient option should be selected.

4. Waste and recycling

4.1. All offices will provide recycling collection for paper, cardboard, glass, aluminum, and plastics #1 and #2.

4.2. E-waste must be routed through the Company's approved e-waste recycler. Disposal of e-waste in general trash is prohibited.

4.3. Single-use plastics (water bottles, utensils, plates) should be avoided in catered meetings and Company events. Bulk-water dispensers and reusable serviceware are preferred.

5. Travel and commuting

5.1. Employees should consider the carbon impact of business travel when selecting itineraries. Direct flights, ground transportation, and video meetings should be considered where the business case permits.

5.2. Personal vehicle use for business is subject to the Ground Transportation Policy (TEP-006); this policy does not modify those rules.

5.3. The Company offers pre-tax commuter benefits for public transit and a workplace EV charging stipend at sites where chargers are installed.

6. Procurement

6.1. Procurement teams should consider environmental factors (vendor sustainability disclosures, packaging waste, transportation distance) alongside cost and quality.

6.2. Office supply orders should default to recycled-content paper and refillable products where available.

7. Reporting and metrics

7.1. The Office of Sustainability publishes quarterly internal dashboards covering energy consumption, waste diverted from landfill, business-travel emissions, and water usage.

7.2. Material environmental incidents (spills, regulatory notices, complaints) must be reported to the Office of Sustainability within 24 hours of discovery.

8. Training

8.1. New hires receive sustainability awareness training as part of onboarding.

8.2. Facility managers receive annual refresher training on environmental compliance, energy reporting, and waste handling.

9. Governance

9.1. The Office of Sustainability reports to the Chief Operating Officer.

9.2. An employee Sustainability Council, with representation from each business unit, advises on programs and reviews progress quarterly.

10. Document control

Version	Date	Author	Change
1.0	2022-04-12	T. Hsu	Initial publication
1.5	2023-08-30	T. Hsu	Added Scope 1/2 targets and reporting cadence
2.0	2024-09-15	R. Okafor	Restructure post-CDP filing; aligned with 2030 commitments
2.1	2025-01-01	R. Okafor	Annual review

Next scheduled review: 2026-01-01 **Document owner:** Office of Sustainability
sustainability@northwindlogistics.com **Approver:** L. Reyes, Chief Operating Officer **Related documents:** TEP-006 Ground Transportation, FAC-003 Facility Operations Manual, PROC-001 Procurement Standards

Vendor Onboarding and Third-Party Risk Standard

Document: PROC-002 **Version:** 1.7 **Effective Date:** January 1, 2025 **Owner:** Procurement & Vendor Management **Applies To:** All Northwind Logistics business units engaging third parties

1. Purpose

This standard establishes the process by which new vendors and third parties are onboarded to do business with the Company, the risk reviews required prior to onboarding, and the ongoing oversight expectations for active vendor relationships.

2. Scope

The standard applies to any third party paid or otherwise compensated by the Company in exchange for goods, services, software, data, or rights, including contractors, consultants, software-as-a-service providers, distributors, and resellers.

The standard does not apply to: employee expense reimbursements (governed by TEP-001), customer-facing transactions, charitable donations, or government filings.

3. Onboarding workflow

3.1 Initiation

A business sponsor submits a Vendor Onboarding Request in the Procurement Portal, including: vendor name, services or goods sought, estimated annual spend, data access required, and proposed term.

3.2 Risk classification

Vendors are classified as Tier A, B, or C based on annual spend, data access, and operational criticality. The classification drives the depth of due diligence.

Tier	Criteria	Due diligence depth
A	Spend > \$500k/year OR access to Confidential/Restricted data OR critical operational dependency	Full review
B	Spend \$50k–\$500k/year OR access to Internal data	Standard review
C	Spend < \$50k/year AND no data access AND non-critical	Light review

3.3 Due diligence

Standard and full reviews include vendor questionnaire, financial review (Bradstreet or equivalent), security questionnaire (SIG-Lite or equivalent), insurance certificate review, and watchlist screening (OFAC, EU sanctions, PEPs).

Full reviews additionally include on-site or virtual site visit, SOC 2 Type II review (or equivalent), and reference checks with at least two existing customers of similar profile.

3.4 Contract

All vendor engagements require a written agreement. Standard agreements include the Company's standard terms; deviations require Legal review.

3.5 Onboarding

Approved vendors are added to the vendor master with a unique vendor ID, banking details, and payment terms (default Net 30, calendar days).

4. Ongoing oversight

4.1. Tier A vendors are reviewed annually; Tier B every 18 months; Tier C every 3 years or on material change.

4.2. Material changes (ownership, location, business model, security posture) trigger an out-of-cycle review.

4.3. Annual security questionnaire renewal is required for any vendor with Internal-or-above data access.

5. Payment

5.1. Payment to vendors is processed by Accounts Payable based on approved invoices matched to purchase orders.

5.2. Invoices missing a valid PO are routed to the business sponsor for confirmation before payment.

5.3. Wire instructions changes from a vendor require independent verbal verification with a known contact at the vendor before any payment is sent to the new account. This is a fraud control and may not be bypassed under time pressure.

6. Offboarding

6.1. When a vendor relationship ends, the business sponsor initiates an Offboarding Request, including final invoice cutoff, data return or destruction requirements, system access removal, and confirmation that all deliverables have been received.

6.2. Vendors with Confidential or Restricted data access must provide a Certificate of Destruction within 30 days of offboarding.

7. Approved-vendor list

7.1. The Approved Vendor List, maintained in the Procurement Portal, identifies preferred vendors for common categories. Use of an Approved Vendor satisfies the onboarding requirement for Tier B and C engagements.

7.2. Adding a vendor to the Approved Vendor List requires CFO sign-off following full due diligence.

8. Exceptions

Exceptions to this standard require written approval from the Chief Procurement Officer. Emergency engagements (operational continuity, security incident response) may proceed under expedited review with retrospective documentation within 10 business days.

9. Definitions

- **Vendor** — A third party providing goods or services to the Company under a contract or PO.
- **Purchase order (PO)** — A document authorizing a vendor to deliver goods or services and committing the Company to a defined payment.
- **Bradstreet** — Dun & Bradstreet credit and risk reporting service.
- **OFAC** — U.S. Office of Foreign Assets Control sanctions list.

10. Document control

Version	Date	Author	Change
1.0	2021-03-15	N. Bjornsen	Initial publication
1.5	2023-07-20	N. Bjornsen	Added Tier classification
1.7	2025-01-01	C. Martinez	Annual review; added wire verification control

Next scheduled review: 2026-01-01 **Document owner:** Procurement & Vendor Management

procurement@northwindlogistics.com **Approver:** Chief Procurement Officer **Related documents:**

SEC-201 Data Classification, TEP-001 Travel & Expense Policy (does NOT apply to vendor payments)

Charitable Giving and Volunteering Policy

Document: HR-302 **Version:** 1.5 **Effective Date:** January 1, 2025 **Owner:** People Experience (HR)
Applies To: All Northwind Logistics employees

1. Purpose

The Company believes its long-term success is connected to the well-being of the communities in which it operates. This policy describes the programs through which the Company and its employees contribute to charitable causes — financial donations, matching gifts, volunteer time, and pro-bono service.

2. Scope

This policy covers Company-sponsored charitable activity and employee participation programs. It does not cover personal charitable activity unrelated to the Company.

3. Programs available

3.1 Matching gift program

3.1.1. The Company matches employee donations to eligible nonprofit organizations, 1:1, up to \$5,000 per employee per calendar year.

3.1.2. Eligible organizations are those qualified as 501(c)(3) public charities in the United States, or the local equivalent in other countries where the Company has operations (registered charities in the UK, Canadian Registered Charities, etc.).

3.1.3. Ineligible recipients include political organizations, candidates, religious organizations except where the funds support a non-religious charitable purpose, and lobbying organizations.

3.1.4. Employees submit match requests through the Bright Funds platform within 60 days of the donation.

3.2 Volunteer Time Off (VTO)

3.2.1. Full-time employees receive 16 hours of paid Volunteer Time Off per calendar year for participation in approved volunteer activities.

3.2.2. Part-time employees receive a prorated VTO allocation based on standard hours.

3.2.3. VTO does not accrue and does not carry over year-to-year.

3.2.4. VTO is requested through Workday with the volunteer organization and activity noted.

3.3 Dollars for Doers

3.3.1. Employees who volunteer 25+ hours with an eligible organization in a calendar year receive a \$250 grant for that organization, payable through the matching gift platform.

3.3.2. Employees who volunteer 50+ hours receive a \$500 grant.

3.3.3. Multiple grants per year are permitted, capped at \$1,000 per employee per year.

3.4 Disaster relief matching

3.4.1. During designated disaster relief events, the Company may enhance the standard match (e.g., 2:1 instead of 1:1) for donations to approved relief organizations.

3.4.2. Enhanced match events are announced via internal communications and are time-bounded.

3.5 Board service

3.5.1. The Company encourages employees to serve on nonprofit boards as a form of community engagement.

3.5.2. Reasonable time during business hours for board service may be approved by the employee's manager (typically up to 8 hours per quarter).

3.5.3. Board service that creates a conflict of interest with the Company's business must be disclosed under the Code of Conduct (COC-001 §4).

4. Company-led activities

4.1. The Company periodically organizes group volunteer activities, fundraising drives, and partnerships with nonprofit organizations. Participation in these activities is voluntary.

4.2. Time spent participating in Company-organized activities during normal working hours is paid and does not count against VTO.

4.3. Company-led activities are coordinated by the Community Engagement team and announced through internal channels.

5. Eligibility

5.1. Full-time and part-time employees in active status are eligible.

5.2. Contractors and temporary employees are not eligible.

5.3. Eligibility begins on the first day of employment.

6. Tax treatment

6.1. Matching gifts and Dollars-for-Doers grants are made directly by the Company to the recipient organization. They are not taxable income to the employee.

6.2. VTO is paid time and is taxed as ordinary wages.

6.3. Personal donations are deductible on the employee's individual tax return, subject to applicable rules.

7. Restrictions

7.1. Charitable activity using Company funds or in a manner that ties the Company's name to a cause requires Community Engagement team coordination.

7.2. Solicitation of colleagues for personal causes is discouraged but not prohibited; however, sustained or aggressive solicitation should be avoided.

7.3. Use of Company premises for charitable events requires Facilities approval.

7.4. Political contributions are not eligible for matching, are not VTO-eligible, and are addressed separately in the Political Activity Policy (LEG-201).

8. Tracking

8.1. Matching gifts, VTO, and Dollars-for-Doers participation are tracked through the Bright Funds platform and Workday.

8.2. Aggregate community impact is reported annually in the Company's Sustainability Report.

9. Definitions

- **VTO** — Volunteer Time Off.
- **Eligible organization** — A nonprofit organization that meets the criteria in Section 3.1.2.
- **Bright Funds** — The Company's matching gift and giving platform vendor.

10. Document control

Version	Date	Author	Change
1.0	2021-06-01	L. Ahmed	Initial publication
1.3	2023-09-12	L. Ahmed	Added Dollars for Doers program
1.5	2025-01-01	L. Ahmed	Annual review; increased VTO from 8 to 16 hours

Next scheduled review: 2026-01-01 **Document owner:** People Experience

community@northwindlogistics.com **Approver:** Chief People Officer **Related documents:** COC-001

Code of Conduct (§4 Conflicts of Interest), LEG-201 Political Activity Policy

Business Continuity Plan Summary

Document: BC-001 **Version:** 2.0 **Effective Date:** January 1, 2025 **Owner:** Business Continuity Office (within Risk Management) **Applies To:** All Northwind Logistics business units; this is a public-facing summary of the full BCP

1. Purpose

Business continuity ensures the Company can maintain or rapidly restore critical operations during and after a disruption. This summary describes the overall framework; the full Business Continuity Plan (BCP) and unit-specific runbooks are maintained by the Business Continuity Office and shared with relevant personnel on a need-to-know basis.

2. Scope

The framework covers all Company operations and critical third-party dependencies. Disruption types include — but are not limited to — natural disasters, cybersecurity incidents, physical site loss, key-vendor failure, pandemic, and prolonged staffing disruption.

3. Critical functions

The Company's Business Impact Analysis identifies the following functions as critical, with their target Recovery Time Objectives (RTO) and Recovery Point Objectives (RPO):

Function	RTO	RPO
Customer order intake	4 hours	15 minutes
Active shipment tracking	2 hours	5 minutes
Customer support contact (phone, email, chat)	8 hours	1 hour
Payroll processing	5 business days	1 business day
Accounts payable	10 business days	1 business day
Financial reporting (period-close)	5 business days	1 business day
Corporate email and collaboration	4 hours	15 minutes

Non-critical functions have looser RTO targets and are restored after critical functions are stable.

4. Roles

4.1. **Business Continuity Office (BCO)** — Maintains the BCP, coordinates exercises, declares plan activation, reports to executive leadership.

4.2. **Crisis Management Team (CMT)** — Activated during major events. Composed of: CEO (or designated successor), COO, CFO, General Counsel, CHRO, CISO, CIO, Head of Operations.

4.3. **Functional Lead** — For each critical function, a named functional lead and at least one backup lead.

4.4. **Crisis Communications Lead** — Coordinates internal and external messaging during a plan activation. Default: VP, Communications.

5. Activation

5.1. The BCP is activated by the BCO Director or, in their absence, by any member of the Crisis Management Team.

5.2. Activation triggers: significant disruption affecting one or more critical functions, or anticipated to affect them within 24 hours.

5.3. Activation is communicated through the Emergency Notification System and via direct outreach to the CMT.

6. Communication

6.1. **Internal communication.** The Emergency Notification System sends initial alerts. Subsequent updates use a combination of email, internal messaging, and (if available) a dedicated incident page on intranet.northwindlogistics.com/incident.

6.2. **External communication.** Customer communications go through Customer Operations and Communications jointly. Media communications go through Communications and Legal. Regulator communications go through Legal.

6.3. **Status cadence.** During plan activation, the CMT meets at least daily; functional updates are due daily by 4 PM local time.

7. Workforce continuity

7.1. The Company's workforce can largely operate remotely. Roles requiring on-site presence (warehouse, distribution center, certain field operations) have backup-site arrangements.

7.2. During pandemic-style disruptions, remote-first protocols can be activated company-wide.

7.3. Critical roles have designated successors trained on essential procedures.

8. Technology continuity

8.1. Critical systems are deployed in cloud configurations supporting cross-region failover with documented procedures.

8.2. Backup and recovery testing is conducted quarterly for critical systems and annually for non-critical.

8.3. Cybersecurity incident response is coordinated by Security per the Incident Response Plan (SEC-IR-001) and integrated with the BCP for incidents materially affecting operations.

9. Vendor continuity

9.1. Tier A vendors (per PROC-002) have business continuity assessment as part of due diligence.

9.2. Single-source dependencies are tracked by the BCO; mitigation includes contractual SLAs, backup arrangements, and inventory buffering as appropriate.

10. Site continuity

10.1. The Company maintains an alternate corporate site arrangement (currently Dallas, TX as alternate to the Irvine HQ).

10.2. Distribution centers have mutual-aid arrangements with sister facilities for re-routing shipments.

11. Exercises and testing

11.1. The BCP undergoes a tabletop exercise at least annually with the CMT.

11.2. Functional teams test their portions of the plan quarterly.

11.3. Full-scale exercises (simulated incident, real workforce response) are conducted biennially.

11.4. Findings from exercises are incorporated into plan updates.

12. Continuous improvement

12.1. After-action reviews follow every plan activation and every significant exercise.

12.2. The BCP is reviewed annually and updated whenever a material change in operations, technology, or risk profile occurs.

13. Definitions

- **RTO** — Recovery Time Objective; the targeted duration of time within which a business function must be restored after disruption.
- **RPO** — Recovery Point Objective; the maximum acceptable amount of data loss (measured in time).
- **BIA** — Business Impact Analysis; an assessment of the operational and financial impact of disruption to each function.
- **CMT** — Crisis Management Team.

14. Document control

Version	Date	Author	Change
1.0	2020-08-15	S. Larsen	Initial publication post-pandemic learning
1.5	2023-04-10	S. Larsen	Updated RTO/RPO targets per BIA refresh
2.0	2025-01-01	M. Ruiz	Restructure; expanded vendor continuity

Next scheduled review: 2026-01-01 **Document owner:** Business Continuity Office

bco@northwindlogistics.com **Approver:** Chief Operating Officer **Related documents:** SEC-IR-001
Cybersecurity Incident Response Plan, PROC-002 Vendor Onboarding, FAC-005 Office Safety